



Session 05: **Business Ethics & Social Responsibility**

THE PRICE OF GREATNESS IS RESPONSIBILITY

Presented by: Ms. Senali Guruge

Difference between Business Ethics & Social Responsibility

BUSINESS ETHICS VS SOCIAL RESPONSIBILITY

Business Ethics

- Define what is right and wrong
- Affects the people within an organization
- Requires ethical decision making

VS

Social Responsibility

- Focuses on ethical concerns that affect societies
- Affects society as a whole
- Requires accountability to the organization, stakeholders, and the public





DEFINING ETHICS



Ethics is a set of moral standards for judging whether something is right or wrong.



Ethics are a code of moral principles and values that governs the behaviors of a person or a group concerning what is right and wrong



The first step in understanding business ethics is learning to recognize an ethical issue



An ethical issue is a situation where someone must choose between a set of actions that may be ethical or unethical

What is unethical in business?

- 1 Taking things that don't belong to you
- 2 Saying things, you know are not true
- 3 Giving or allowing false impressions
- 4 Buying influence or engaging in a conflict of interest
- 5 Hiding or divulging information



What is unethical in business? (Cont.)

Taking Unfair advantage

Committing improper personal behavior

Abusing power and mistreating individuals

Permitting organizational abuse

Violating rules

Condoning unethical actions

Have you heard about “Ethical Dilemmas?”

Ethical dilemmas involve situations where there are conflicting needs between two parties; individual vs organization or organization vs society.



Ethical Dilemma: The Burger murders -
<https://youtu.be/W8O131s31Rg?si=0tzqdwZNyM4T84Jy>



EXAMPLES OF UNETHICAL ADVERTISEMENTS





1



https://youtu.be/o-lkkh5oxuo?si=b8oTSHyzCxGZCn_l

EXAMPLES OF ETHICAL ADVERTISEMENTS

2



<https://youtu.be/cvb49-Csq1o?si=03QCWgyglwy1u-Qk>

SHAPING ETHICAL BEHAVIOR WITHIN AN ORGANIZATION

- ❖ Written code of ethics
- ❖ Creating ethical structures
- ❖ Creating an environment conducive to whistleblowing
- ❖ Ethical Leadership
- ❖ Creating values based on ethics

Creating An Ethical Framework

https://youtu.be/3ekpclTff9g?si=fLcOUpmYCDvK_c6G



THE BARRETT MODEL & ETHICAL BUSINESS PRACTICE

<https://www.valuescentre.com/articles/7-levels-of-ethical-business-practice>

LEVEL	POSITIVE FOCUS / CAUTION / EXCESSIVE FOCUS
SERVICE	Service to Others, Humanity and the Planet, Ethics, Human Rights, Social Responsibility, Long-term Perspective, Compassion, Humility, Wisdom
MAKING A DIFFERENCE	Strategic Alliances and Collaborative Partnerships, Making a Difference, Sustainability, Collective Action, Employee Well-being (Physical/Emotional/Mental/Spiritual)
INTERNAL COHESION	Building Internal Community, Integrity, Shared Values, Shared Vision, Honesty, Fairness, Trust, Commitment, Leading By Example, Transparency, Openness, Meaning and Purpose, Clarity, Humour/Fun
TRANSFORMATION	Continuous Improvement and Learning, Accountability, Information Sharing, Risk Taking, Equality, Diversity, Empowerment, Courage
SELF-ESTEEM / COMPLIANCE	High Performance, Pride, Brand Image, Compliance Systems and Processes, Discipline and Enforcement, Policies and Procedures, Due Diligence, Ambition, Bureaucracy, Silo Mentality, Long-hours, Shame, Power, Information Hoarding, Complacency, Wilful Blindness
RELATIONSHIPS	Harmonious Relationships, Open Communication, Care, Respect, Listening, Loyalty, Manipulation, Empire Building, Being Liked, Blame, Bullying/ Harassment, Conflict Avoidance
SURVIVAL	Financial Stability, Caution, Health & Safety, Licence to Operate, Job Security, Profit, Insecurity, Short-Term Focus, Greed, Corruption, Control, Exploitation

Ethical Domain



Domain of Codified Law

Provides a structured framework for legal regulations and aims to objectify the law, making it public and available



Domain of Ethics

Serve as guidelines for professionals, such as lawyers, and aim to promote ethical behavior and protect clients



Domain of Free Choice

Making decisions within the boundaries which is set by codified law and ethics codes



“

*A business that makes nothing
but money is a **POOR** business*

-Henry Ford -

”

Corporate Social Responsibility (CSR)

An ethical focus for individuals and companies whereby they seek to take action and be accountable for practices that benefit society

As it applies to business, social responsibility is known as "**Corporate Social Responsibility**"

A self-regulated way for businesses to include charitable contributions in their organization policies



**Environmental
Corporate
Responsibility**

**Legal
Corporate
Responsibility**

**TYPES
OF
CSR**

**Philanthropic
Corporate
Responsibility**

**Economic
Corporate
Responsibility**

SOCIAL RESPONSIBILITY IN ACTION!!!



Virgin Atlantic

Flight attendants collect spare foreign currency from their passengers returning home from abroad and donate the money to their partner charity, WE. They raised over \$700,000 in 2016 alone.

Bosch Power Tools

They helped students develop 3D printing technology to **create and donate 75 prosthetic hands** to the Helping Hands Project.



Ben & Jerry's

After a rainbow installation in Saviour Square in Warsaw was vandalized seven times by opponents of LGBT rights, Ben & Jerry's partnered with local artists to **install a colorful water rainbow light projection** for Warsaw's Pride Parade.

Warby Parker

Warby Parker makes a monthly donation to their nonprofit partners to **bring prescription eyewear to people in developing countries**. They've distributed more than four million pairs of glasses since 2010.



The Giving Keys

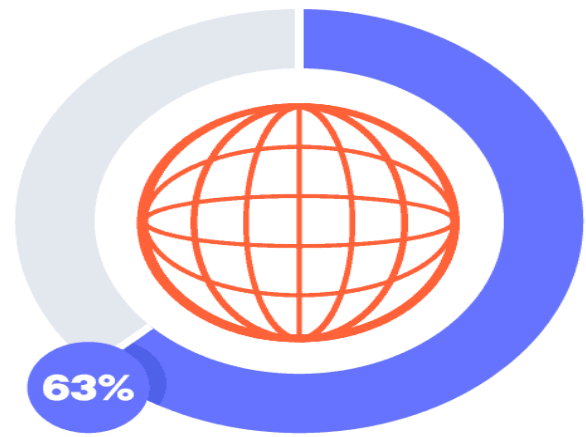
This "pay it forward company" **employs people who are transitioning out of homelessness** and provides full-time job. They offer benefits as well as paid time off for housing, education and case-management appointments.



https://youtu.be/T_aQH2bwMqw?si=ZTyhBLoBMVujvDf8

How Important Is Social Responsibility?

A Cone Communications study about Corporate Social Responsibility (CSR) revealed how Americans really feel about ethical companies.



63% of consumers

are looking to businesses to take the lead on social and environmental change.

78% of people

want companies to address social justice issues.



78%

76% of people

would decline to do business with a company if it held views and supported issues that conflicted with their beliefs.



76%

Questions to Help Startups Prioritize Social Responsibility

- 
- ◆ In what ways does your business impact its **key stakeholders**?
 - ◆ What are your business' **core strengths**?
 - ◆ What are the **pressing needs** in the major communities where your business operates?
 - ◆ How can you **differentiate yourself from competitors** who practice CSR?
 - ◆ What resources do you have available to execute **socially responsible initiatives**?

WHY BUSINESS ETHICS & SOCIAL RESPONSIBILITY ARE IMPORTANT?



*Create a
better working
environment*

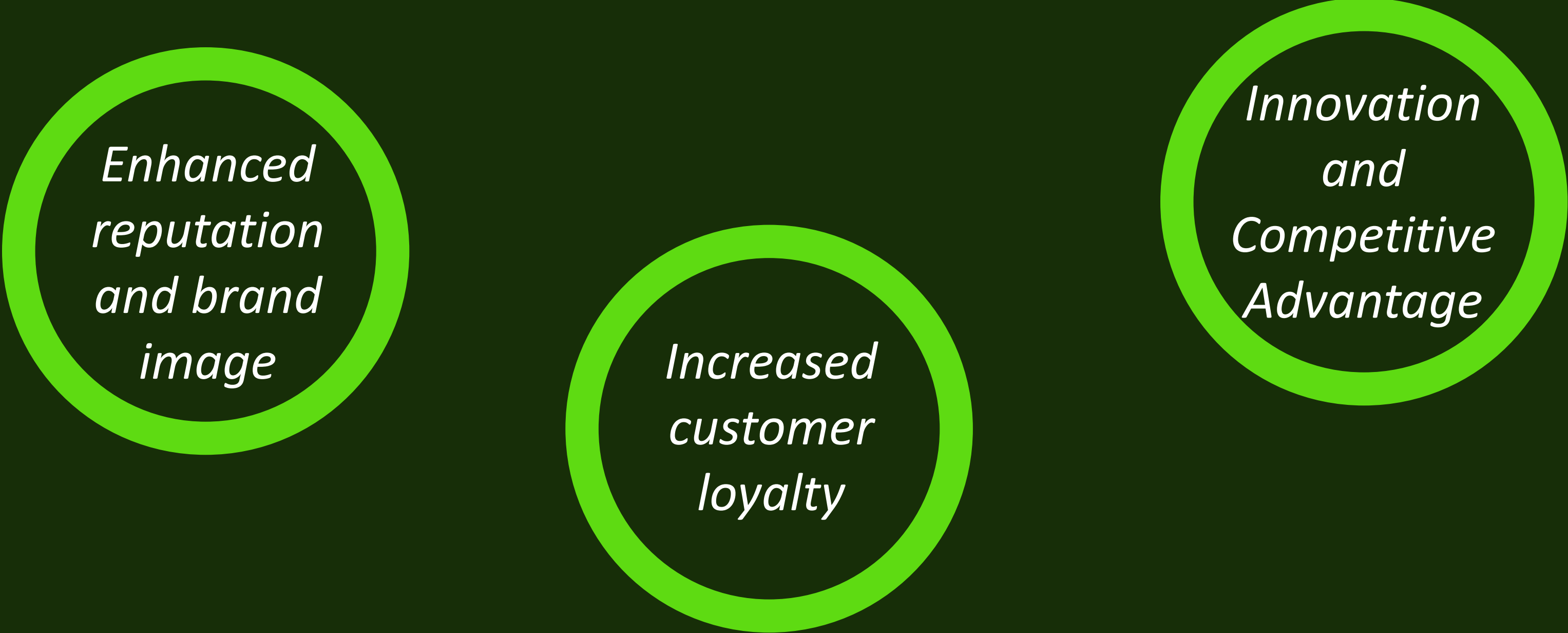
*Better sales
and
profitability*

*Minimize
legal risks*

*Recruiting top
talent*

*Employee
Engagement*

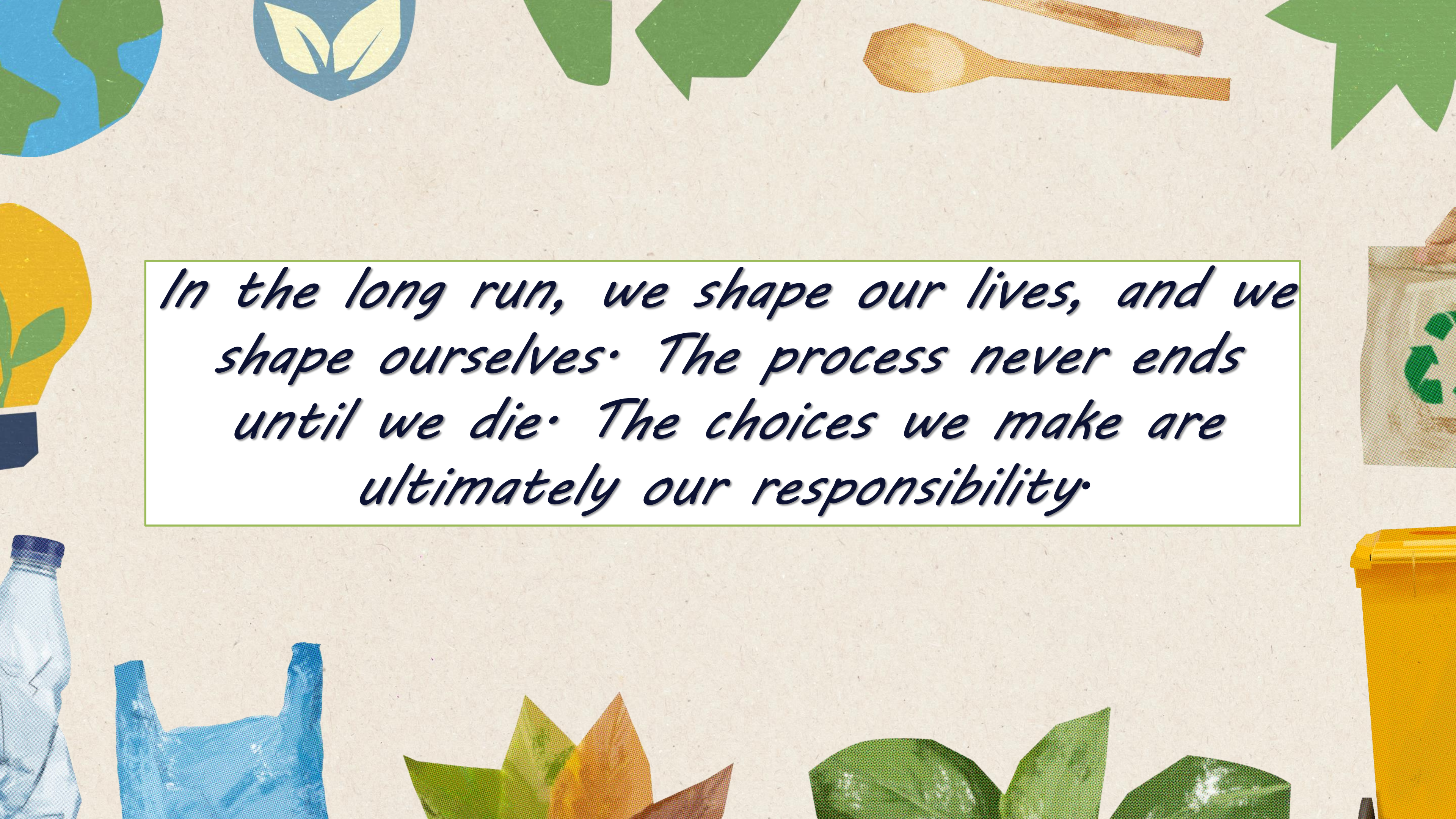
WHY BUSINESS ETHICS & SOCIAL RESPONSIBILITY ARE IMPORTANT? (Cont.)



*Enhanced
reputation
and brand
image*

*Increased
customer
loyalty*

*Innovation
and
Competitive
Advantage*



In the long run, we shape our lives, and we shape ourselves. The process never ends until we die. The choices we make are ultimately our responsibility.